

Projected Y11 Performance i		
Scoring Measures	Year 11	Investor Expectations
Earnings Per Share	\$2.28	\$2.50
Return On Equity	19.6%	21.0%
Credit Rating	A–	B+
Image Rating	64	70
Other Measures	Year 11	Change from Y10
Net Revenues (\$000s)	448,270	+3.6%
Net Profit (\$000s)	45,682	+14.2%
Ending Cash (\$000s)	53,933	+47,859

Sources of Additional Cash (\$000s)

1-Year Bank Loan (7.00% interest)

5-Year Bank Loan (7.50% interest)

10-Year Bank Loan (8.00% interest)

Stock Issue (000s of shares at \$30.00)
Max. share issue in Y11 = 5000k

Uses for Excess Cash (\$000s)

Early Repayment of L-T Loans
(Balance Sheet Note 8)

Dividend (\$/share)
Year 10 dividend was \$1.00

Stock Repurchase (000s of shares)
Max. share repurchase in Y11 = 200k

N/A

Shares of stock outstanding at the beginning of Year 11

20,000 k

Shares of stock outstanding at the end of Year 11

20,000 k

Projected Cash Available in Year 11		
Beginning Cash Balance (carried over from Year 10)		\$ 6,074
Cash Inflows	Receipts from Footwear Sales	447,743
	Bank Loans 1-Year	0
	5-Year	0
	10-Year	0
	Stock Issue (0shares @ \$30.00)	0
	Sale of Used Production Equipment	0
	Interest on Year 10 Cash Balance	121
	Loan to Cover Overdraft (1-year loan)	0
Cash Refund (awarded by instructor)		0
Total Cash Available from All Sources		\$ 453,938

Projected Cash Outlays in Year 11		
Cash Outlays	Payments to Materials Suppliers	\$ 77,552
	Production Expenses (excluding depreciation)	94,950
	Distribution and Warehouse Expenses	87,017
	Marketing and Administrative Expenses	96,179
	Capital Outlays	
	Facility Expansion (new space)	0
	Equipment Purchases	0
	Equipment Upgrade Options	0
	Energy Efficiency Initiatives	0
	Bank Loan Repayment	
	1-Year Loans	0
	5-Year Loans	0
	10-Year Loans	15,900
	Interest Payments	
	Bank Loans	8,829
	Y10 Overdraft	0
	Stock Repurchases (0 shares @ \$30.00)	0
	Income Tax Payments	19,578
	Dividend Payments to Shareholders	0
	Charitable Contributions	0
	Cash Fine (assessed by instructor)	0

Projected Cash Outlays in Year 11	
Total Cash Outlays	\$ 400,005

Projected Cash Balance at the End of Year 11 (\$000s)

\$ +53,933

This positive cash balance could generate interest income of \$1.1M in Year 12.

Other Important Financial Statistics	Last Year	Year11 (projected)
Interest Rate Paid on Overdraft Loans	9.0%	9.0%
Interest Rate Received on Cash Balances	2.0%	2.0%
Shareholder Equity (mandated minimum = \$100 mil.)	210.0 mil.	255.7 mil.

Performance on Credit Rating Measures	Last Year	Year 11 (projected)
Interest Coverage Ratio (operating profit + interest exp.)	6.62	8.49
Debt to Assets Ratio (total debt + total assets)	0.39	0.31
Risk of Default (based on Y11 default risk ratio of 4.07)	Medium	Low